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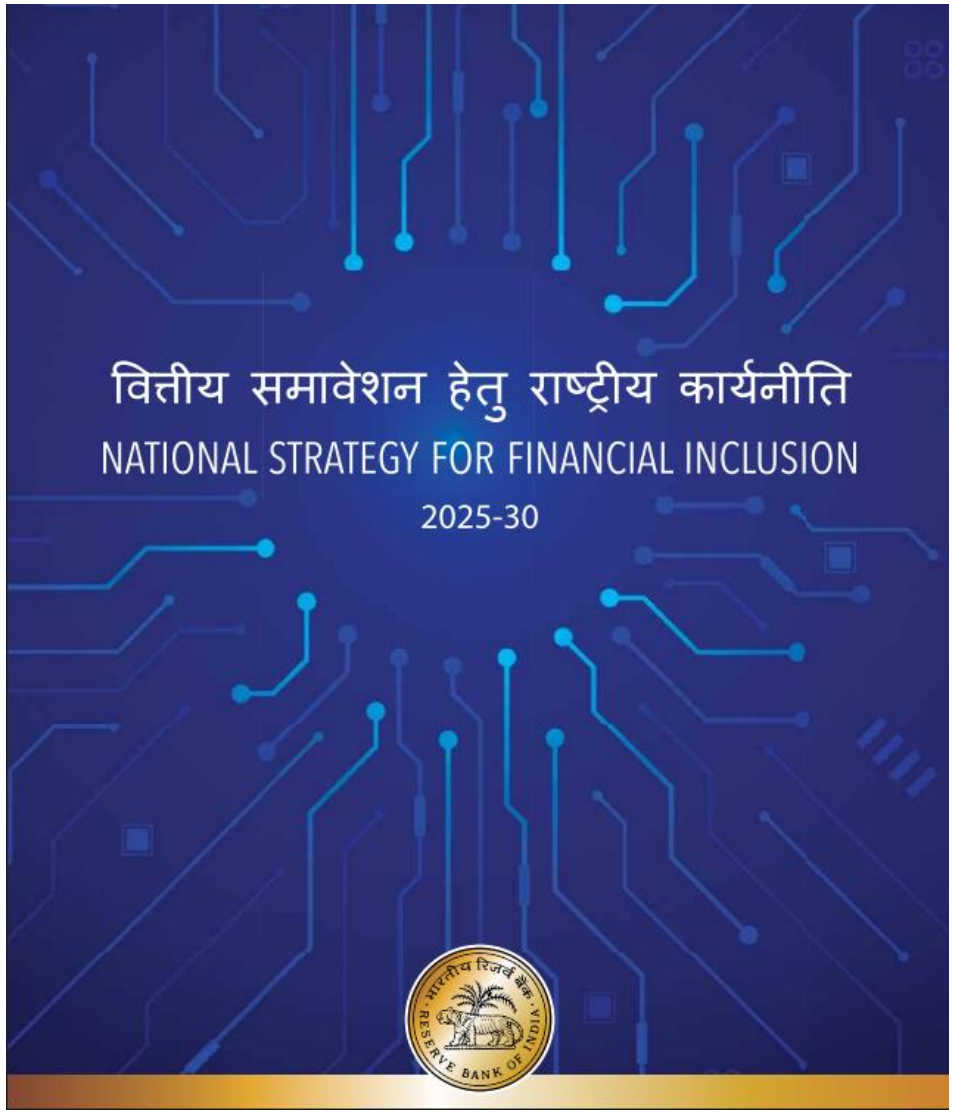
NSFI 2025-30: Strengthening last-mile access, improving financial services

RBI's NSFI 2025-30 aims to deepen financial inclusion with stronger last-mile delivery, gender-sensitive outreach, expanded BC networks, and pilots of programmable CBDC for targeted credit



The RBI said the new strategy would be supported by enhanced financial literacy initiatives, greater consumer awareness and stronger customer protection frameworks.

BS Reporter
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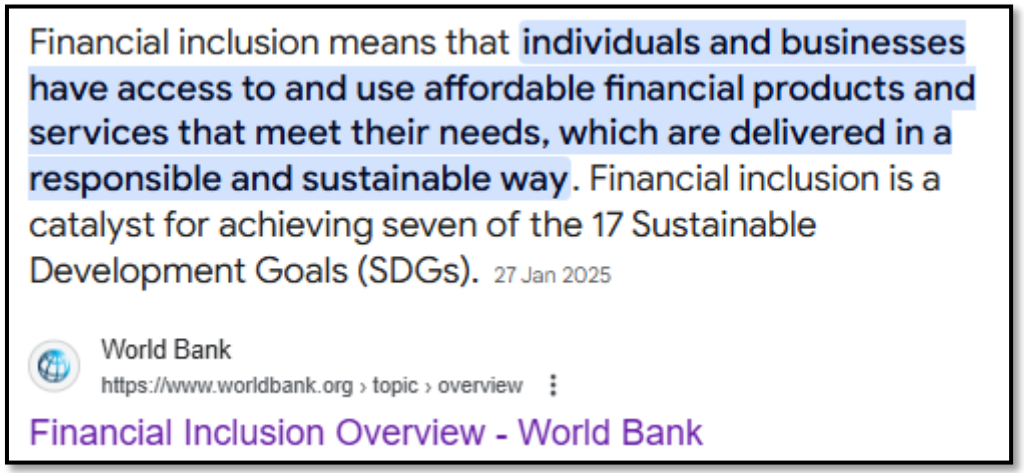
National Strategy for Financial Inclusion (NSFI): 2025-30

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The **NSFI 2019-2024** had set forth the vision and key objectives of the financial inclusion policies in India to help expand and sustain the financial inclusion process at the national level through a broad convergence of action involving all the stakeholders in the financial sector.

Continuing the journey, NSFI: 2025-30 envisions **upscaling the financial inclusion efforts** towards seamless and effective access to a bouquet of formal financial services, coupled with financial literacy, consumer awareness and customer protection.

Released by - Financial Inclusion and Development Department (FIDD), Reserve Bank of India



National Strategy for Financial Inclusion (NSFI): 2025-30

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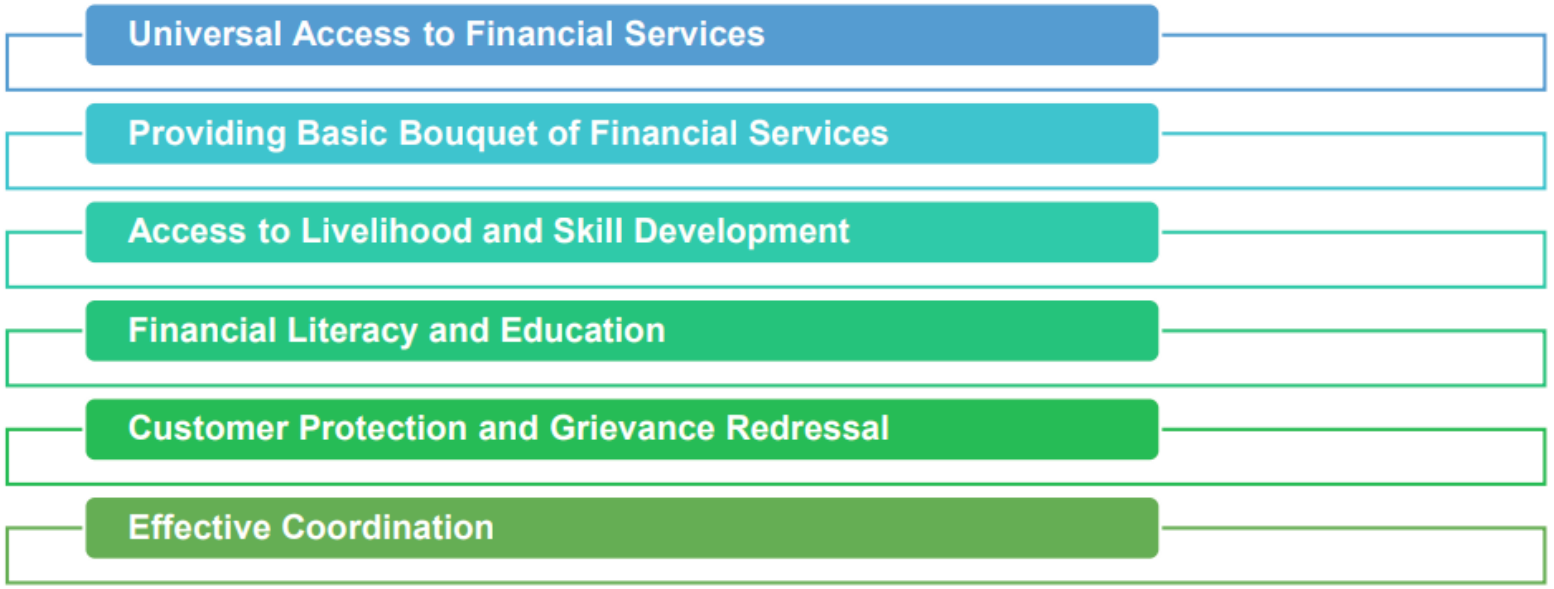
CHAPTER – I - NATIONAL STRATEGY FOR FINANCIAL INCLUSION (NSFI) 2019-24: A RETROSPECT

- The strategy was created after taking **inputs and suggestions** from the Government of India and various **financial sector regulators**, such as:
  - Securities and Exchange Board of India (SEBI)
  - Insurance Regulatory and Development Authority of India (IRDAI)
  - Pension Fund Regulatory and Development Authority (PFRDA)
- It **also included consultations** with specialised institutions and market participants, including:
  - National Bank for Agriculture and Rural Development (NABARD)
  - National Payments Corporation of India (NPCI)
  - Commercial Banks
- The document was formally released by Shri M K Jain, Deputy Governor, RBI at the High Level Meeting on Financial Inclusion for the North East region convened at Agartala on **January 10, 2020.**

CHAPTER – I - NATIONAL STRATEGY FOR FINANCIAL INCLUSION (NSFI) 2019-24: A RETROSPECT

- An inclusive financial system promotes **stability, integrity, and fair growth**, which NSFI aimed to achieve through **6 strategic pillars and 18 milestones.**

Figure I.1: NSFI (2019-24) Strategic Pillars



By emphasising last-mile delivery, **banking access was ensured within 5 km for 99.9% of the 1.21 lakh identified villages/hamlets (500 households)**, and multiple measures were taken to strengthen the Business Correspondent (BC) network for last-mile access.

Assessment of Progress in Achievement of NSFI Milestones:

- Over five years, regulators worked on encouraging safe and responsible financial innovation by testing new ideas through the **Regulatory Sandbox and bringing practical digital solutions** to the last mile.
- **On the demand side**, financial inclusion improved as **every block in the country was covered through Centres for Financial Literacy (CFL), and NCFE created easy, customised financial literacy modules** for different groups.
- Banking outlets in villages increased from **5.97 lakh (March 2019) to 15.98 lakh (March 2024),** and basic savings bank deposit accounts rose **from 57.42 crore to 70.59 crore** over the same period.
- During the strategy period, the Reserve Bank introduced 2 indices in 2021 — the Digital Payments Index (DPI) to measure digital payment adoption, and the Financial Inclusion Index (FI-Index) to assess overall financial inclusion.
  - The DPI increased significantly from 153.47 (March 2019) to 445.50 (March 2024).
  - The FI-Index improved from 49.9 (2019) to 64.2 (2024), with the Access sub-index rising from 67.5 to 79.3, Usage sub-index from 38.7 to 55.5, and Quality sub-index from 52.6 to 65.8.

Economy

67 and Rising: India's Financial Inclusion Gains Momentum

RBI's Financial Inclusion Index rises to 67 in 2025 indicating Growth for Everyone

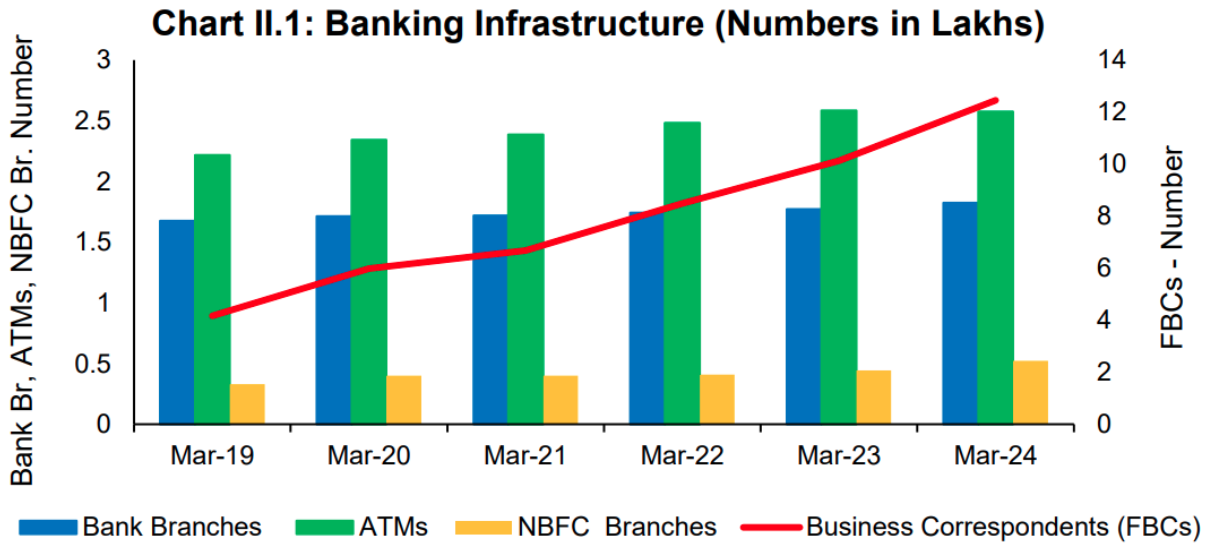
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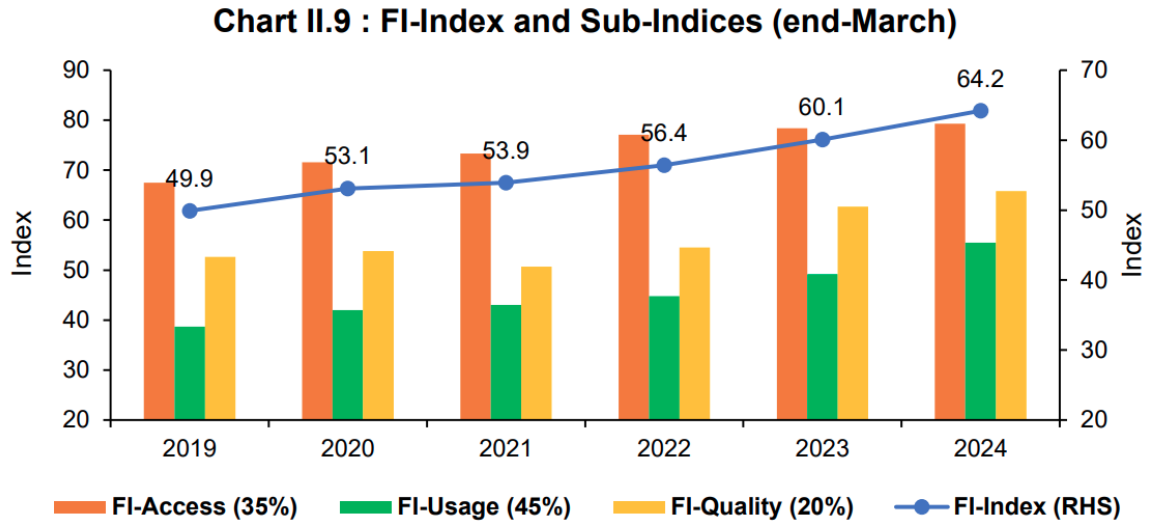
"Economic growth cannot only be restricted to a few cities and a few citizens. Development has to be all-round and all-inclusive."

– PM Narendra Modi

- **Financial Inclusion Index** risen to **67** in 2025, up by 24.3% since 2021
- **55.98 crore beneficiaries** under the revolutionary **Pradhan Mantri Jan Dhan Yojana**
- **6.65 Lakhs accounts opened** in 1-month campaign for **Saturation of Financial Inclusion Schemes**

CHAPTER-II - STATE OF FINANCIAL INCLUSION IN INDIA





Banking infrastructure **per lakh population improved sharply**, with **fixed-point business correspondents** rising from 30.1 **to 85.6**, while **bank branches** stayed around **12.5 per lakh population** and **ATMs** remained stable at **17–18 per lakh population.**

All major parameters such as - per capita bank accounts, cards, mutual fund assets under management, bank deposits, and credit etc, have **grown steadily over the past 5 years with no negative trends**, showing a gradual expansion of the financial system, along with consistent growth in mutual fund assets under management (MF-AUM) and rising current deposits.

Supply Side Impediments to Financial Inclusion:	Demand Side Impediments to Financial Inclusion:
Most BC outlets **mainly handled remittances and cash services**, while products like insurance, micro-pension, loans, overdrafts, KCC were available only at select outlets, leading to **uneven service access in areas fully dependent on BCs.**	In the household segment, personal loans, education loans, and home loans were the top 3 credit facilities in demand, yet about 50% of aspirants had unmet credit needs. Lack of awareness about the procedure, unavailability of nearby bank branch, and lack of collateral were cited as top three impediments in that order, for inability to get credit.
The **absence of a prescribed minimum standard set** of BC services led to poor standardisation, making it difficult to manage customer expectations and monitor service delivery.	**Information asymmetry -** lack of awareness about availability, cost, and use of financial services, and difficulty in understanding information because of **language or literacy barriers.**
The survey showed that most BCs did not display service fees, and **concerns existed about unauthorized or unaccounted upfront charges**, in addition to bank-built transaction charges.	Among those without insurance or pension products, **awareness of their need was low**; awareness about schemes like PMSBY, PMJJBY, PMFBY, and APY ranged between 30-35%.
Low representation of women BC agents reduced inclusivity and outreach.	**Near-universal ownership (96%) of bank account**, but **irregular income** limited active usage.

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Around 16% of the respondents used informal sources of credit mostly for small ticket loans, with its share being higher in rural areas. In general, people may have relied upon informal sources of credit due to ease, timeliness, and convenient access.

CHAPTER – III - VISION OF NSFI (2025-30): AN INCLUSIVE FINANCIAL SYSTEM TOWARDS WELLBEING OF PEOPLE

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Definition of Financial Inclusion

5. The Committee on Financial Inclusion (Chairman: Dr C Rangarajan, RBI, 2008) defined financial inclusion as "the process of ensuring access to financial services, timely and adequate credit for vulnerable groups such as weaker sections and low-income groups at an affordable cost".

The objective of financial inclusion is ensuring availability of equitable, responsible, suitable, and affordable access to a bouquet of formal financial services, namely, savings, payments, remittances, credit, investments, insurance, and pension, across socio-economic and geographical strata, coupled with effective financial literacy, robust consumer awareness and customer protection measures.

6. Further, the Committee on Medium-Term Path to Financial Inclusion (Chairman: Shri Deepak Mohanty, RBI, 2015) viewed financial inclusion as, "convenient access to a basket of basic formal financial products and services that should include savings, remittance, credit, government-supported insurance and pension products to small and marginal farmers and low income households at reasonable cost with adequate protection progressively supplemented by social cash transfers, besides increasing the access of small and marginal enterprises to formal finance with a greater reliance on technology to cut costs and improve service delivery."

Equitable: The access infrastructure should be available across the geographic strata in a reasonably homogeneous manner.

Responsible: Financial service providers should ensure that their products and services do not manipulate or limit customers' free choice, interests, or suitability needs, and do not leave customers worse off in economic, behavioural, or social terms.

Suitable: Financial products and services should match customers' needs, financial situation, and understanding, with customised options available so people can choose what suits them best.

Affordable: Basic financial services like basic accounts, savings and investment accounts, small remittances, and small digital payments should be provided free of cost, while other services should be priced affordably, keeping service costs in mind.

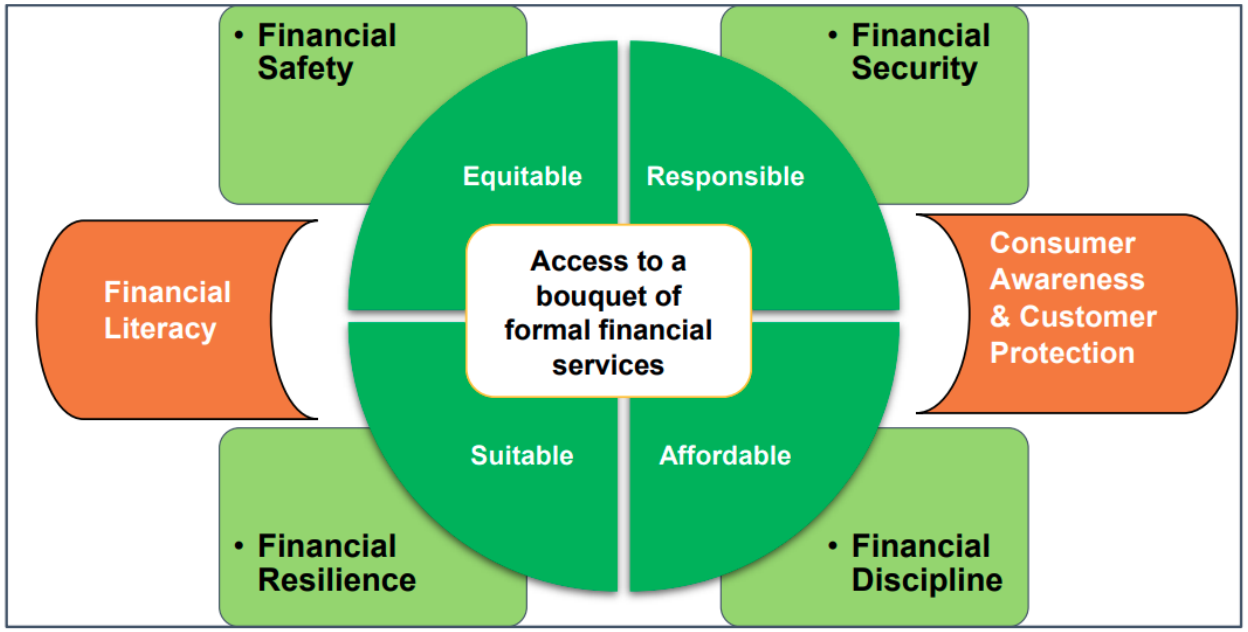
CHAPTER – III - VISION OF NSFI (2025-30): AN INCLUSIVE FINANCIAL SYSTEM TOWARDS WELLBEING OF PEOPLE

Financial inclusion, as above, with the involvement of all stakeholders improves financial safety, financial security, financial resilience, and financial discipline of individuals (households) and micro-enterprises.

Table III.1: The quadrangle of financial safety, security, resilience, and discipline and their anchors.

Dimension	Anchors	Explanatory Details on Anchors
Financial Safety – *"Smoothly managing day-to-day transactions"*	Suitable Access. Livelihood Support. Customer Protection.	- Fair, suitable, and affordable financial products and services. - Quick, simple, and efficient grievance redressal mechanism. - Regular and sustained income stream through wage or non-wage livelihood. - Meeting basic subsistence needs (minimum basic needs for day-to-day life – food, shelter, education, travel, etc., at a household level).
Financial Security – *"Ability to meet any contingency"*		- Regular Savings – Liquid (for at least two-months' average household expenses) and Long-Term (in form of physical/financial assets). - Continued subscription of any pension scheme (retirement pension/ Atal pension Yojana/ other social security pensions). - Effective *ex ante* Customer Protection Measures and Deposit Insurance.

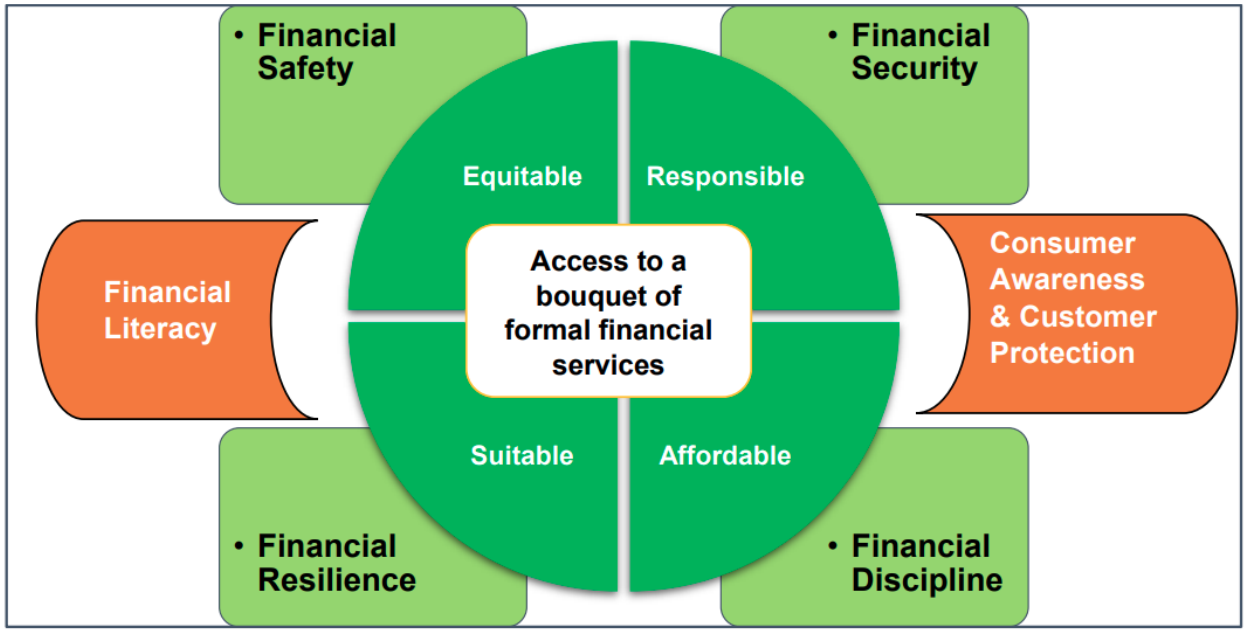
Figure III.1: Financial Inclusion: Components and Outcomes



CHAPTER – III - VISION OF NSFI (2025-30): AN INCLUSIVE FINANCIAL SYSTEM TOWARDS WELLBEING OF PEOPLE

Financial Resilience - *"Ability to recover from financial setbacks"*	Insurance Coverage. Credit Facilities.	- Unexpired insurance coverage within acceptable/ bearable cost – life coverage, health coverage, asset coverage (vehicles/property/machines, etc.). - Fair Emergency Credit to reasonably cope with a financial setback/sudden difficult situation such as, loss of life/ livelihood/assets without excessive debt burden or losses impeding day-to-day life.
Financial Discipline – *"Attitude and behaviour towards a steady financial future"*	Financial Education. Experiential Learning	- Financial Awareness and Confidence. - Diversified Investments - Distributing savings /investments across different banks/asset classes. - Sustainable Indebtedness - monthly repayment amount towards outstanding loans not exceeding half of the monthly income of the household. - Realistic Goal Setting and Planning - Making financial goals within one's means, and planning for future expenses/ life-events (education/ marriage of children, retirement, etc.)

Figure III.1: Financial Inclusion: Components and Outcomes



CHAPTER – III - VISION OF NSFI (2025-30): AN INCLUSIVE FINANCIAL SYSTEM TOWARDS WELLBEING OF PEOPLE

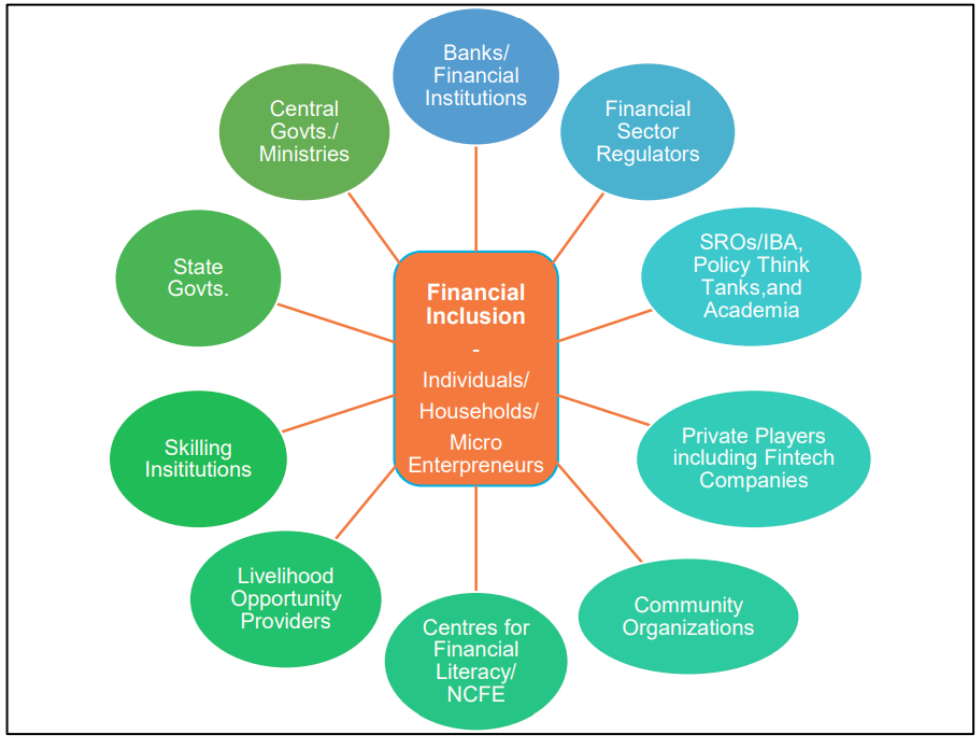
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Vision of NSFI (2025-30)

15. Following the above discussions, the vision of NSFI is as under –

To strengthen the financial inclusion ecosystem with the synergised efforts of stakeholders towards wellbeing of people by ensuring delivery of equitable, responsible, suitable, and affordable financial services duly supported by livelihood enablers, effective financial literacy, digital public infrastructure, and robust customer protection.

Figure III.2: Financial Inclusion (FI) Ecosystem



- The financial inclusion (FI) ecosystem is a coordinated network of stakeholders working together to **improve people's well-being through financial safety, security, resilience, and discipline.**

CHAPTER – III - VISION OF NSFI (2025-30): AN INCLUSIVE FINANCIAL SYSTEM TOWARDS WELLBEING OF PEOPLE

Table III.1: Role of FI Policies in Specific SDGs and Targets
SDG 1: Poverty Reduction
Financial inclusion by improving access to financial services and skilling/livelihood opportunities helps to improve the sustenance, sufficiency, and safety of income, thereby helping to reduce poverty.
SDG 2: Ending Hunger
An inclusive financial system incentivises credit led investments for adoption of sustainable and productivity enhancing agricultural practices, which results in better agricultural yields. Thereby, helping in reducing hunger due to enhanced food security.
SDG 3: Health and Wellbeing
Financial inclusion through its multi-faceted socio-economic dimensions aids human development and augments resilience of the marginalised and vulnerable, thereby fostering health and well-being.
SDG 5: Gender Equality
Gender sensitive financial inclusion policies decrease gender inequality by empowering women and improving their overall socio-economic status.
SDG 8: Decent Work and Economic Growth
Financial inclusion with its ecosystem approach supports economic growth by providing necessary funding, augmenting employment, and entrepreneurship, and boosting consumption.
SDG 9: Industry, Innovation, and Infrastructure
Financial inclusion policies support the industry, especially the micro and small enterprises by providing credit linkages and digital infrastructure for promoting innovation and boosting their progress.
SDG 10: Reducing Inequalities
Financial inclusion policies with their specific focus on the upliftment of the poor, marginalised, and vulnerable segments, and the last mile reach, help to reduce inequalities.
SDG 17: Strengthening the means of Implementation
Financial inclusion is an important means of implementation for achieving SDGs, through mobilization of savings/investments and boosting consumption, and improving overall wellbeing of people, that can help in achieving broader developmental goals.

CHAPTER – IV - NSFI (2025-30): STRATEGIC OBJECTIVES AND ACTION POINTS

The NSFI 2025-30 timeline is **aligned with the 2030 Agenda** for Sustainable Development, adopted by 193 UN Member States in Sept 2015 and effective from Jan 1, 2016. The agenda's principles of **"Leave No One Behind"** and holistic development closely match NSFI's outcome-focused financial inclusion goals aimed at improving people's well-being.

Five strategic and synergised objectives, collectively referred to as **Panch-Jyoti**, comprising **47 specific action points**, which are aimed at helping to elevate the state of financial inclusion in the country:

1. **Improving the availability** and use of **Equitable, Responsible, Suitable, and Affordable Bouquet** of Financial Services to achieve Financial Safety and Financial Security for households and micro enterprises.
2. Adopting **Gender-Sensitive Approach** for Women-led Financial Inclusion and Differentiated Strategies for Improving Financial Resilience of Households, especially for the Underserved and Vulnerable segments.
3. **Synergizing** Livelihood, Skill Development and Support Ecosystem and its linkages with Financial Inclusion.
4. **Leveraging Financial Education** as a tool for promoting Financial Discipline.
5. Strengthening the **Quality and Reliability** of Customer Protection and Grievance Redressal Measures.

CHAPTER – IV - NSFI (2025-30): STRATEGIC OBJECTIVES AND ACTION POINTS

Table IV.3 - FI-Dimensions Wise Distribution Matrix of the Action Points	
FI - Dimensions	**Number of action points**
Access	6 (13%)
Usage	19 (40%)
Quality	19 (40%)
Monitoring & Measurement	3 (7%)
Total	**47 (100%)**

CHAPTER-V – Monitoring and Measurement Mechanism

Financial inclusion indicators are grouped under **Access, Usage, and Quality**, with breakdowns by geography and demographics; while supply-side assessment uses **regulatory and other available data**, demand-side assessment **requires surveys and studies** to understand on-ground quality and enablers.

Supply Side Measurement:

- **Data collection** should fully **cover all formal financial institutions** involved in the financial inclusion ecosystem.
- **Data should be collected at the district level**, with gender and age-wise breakup, to assess regional, gender, and age-related differences in access and usage; key banking datapoints should be placed in the public domain.
- Customer data captured by financial service providers should **include income level, education, occupation, and purpose**, to support better analysis and policy design.
- **Common and harmonised definitions** should be developed for terms such as Vulnerable Consumers and Migrants, for consistent use across the financial sector.
- While the current FI-Index measures progress at the national level, a **disaggregated FI-Index should be developed**—preferably at the State/UT level—and during NSFI 2025–30, **a new, broader FI-Index series** with State/UT-level data should be constructed and published.

CHAPTER-V – Monitoring and Measurement Mechanism

Demand Side Measurement - Conduct of Studies/Surveys

- Along with supply-side data, **demand-side measurement through surveys and focus groups** is needed to identify barriers to access, usage, and quality of financial inclusion, especially at the last mile.
- A user-focused approach helps **reveal gaps between needs and services**, last-mile delivery bottlenecks, regional gaps, and changing preferences.

Way Forward:

Financial inclusion works best when it is linked with financial education, customer protection, skills, livelihoods, entrepreneurship, and market access through joint efforts, helping improve people's financial safety, security, resilience, and discipline.

Q.1) With reference to the “Panch-Jyoti” framework under the National Strategy for Financial Inclusion (NSFI) 2025–30, consider the following statements:

1. Panch-Jyoti represents five strategic and synergised objectives supported by a total of 47 specific action points.
2. One of its objectives explicitly links the provision of equitable, responsible, suitable, and affordable financial services with the achievement of financial safety and financial security.
3. Gender-sensitive financial inclusion under Panch-Jyoti is limited to improving women’s access to credit through self-help groups.
4. Financial education is envisaged as an instrument to promote financial discipline rather than merely financial awareness.

Which of the statements given above are correct?

A. 1 and 2 only
B. 1, 2 and 4 only
C. 2 and 3 only
D. 1, 3 and 4 only
E. 1, 2, 3 and 4

Answer: ?

Q.2) The objective of financial inclusion is to provide _____access to formal financial services—such as savings, payments, remittances, credit, investments, insurance, and pension—across all socio-economic and geographic groups, supported by strong financial literacy, consumer awareness, and customer protection. With the involvement of all stakeholders, financial inclusion strengthens financial safety, security, resilience, and discipline of individuals, households, and micro-enterprises. Which of the following should fill the blank?

A. Equitable, universal, subsidised and mandatory
B. Inclusive, affordable, profitable and innovation-led
C. Responsible, inclusive, technology-driven and risk-free
D. Equitable, responsible, suitable and affordable
E. Regulated, centralised and standardised

Answer: ?

Thank You

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